SUB-TO FAQ

QUESTION

What is Subject To?

ANSWER

“Subject-To” is a way of our purchasing/transferring real estate where the buyer takes title to the property, and the existing loan stays in the name of the seller. In other words, the sale is completed “Subject-To” the existing financing. The buyer now controls the property, takes on all responsibilities of ownership, and makes the mortgage payments on the seller’s existing mortgage.

SUB-TO FAQ

QUESTION

Is Subject-To LEGAL?

ANSWER

Yes! Fill-able HUD-1. This is a standard form that title/escro companies and attorneys use to build settling statements. Please note lines 203 and 503. Note this is a Code of Federal Regulation (CFR) document. Page 396, second paragraph states: “Line 203 is used for cases in which the Borrower is assuming or taking title subject to an existing loan or lien on the property.”

SUB-TO FAQ

QUESTION

Why would any seller do this?

ANSWER

Sellers may consider utilizing the Subject-To method in low equity situations as it allows them to relinquish ownership of the property without the need for additional funds or having to write a check at closing. Depending on the seller's mortgage balance, this method may result in greater financial gain for the seller compared to a traditional sale. Additionally, it enables the seller to move on from the property as they are no longer responsible for expenses such as repairs, maintenance, utilities, taxes, insurance, and HOA fees. The seller's credit score may improve as a result of timely payments made towards the mortgage.

SUB-TO FAQ

QUESTION

How can the Seller be sure payments are being made?

ANSWER

The buyer engages the services of a third-party loan servicing company, which is responsible for facilitating the monthly mortgage payments. Additionally, the sellers have the option to elect to receive notifications on a monthly basis, indicating that the mortgage payments have been fulfilled.

SUB-TO FAQ

QUESTION

What if the Buyer misses a payment?

ANSWER

While we've never missed a payment, we take precautions to ensure everyone involved is secured. We include a Performance Clause in our contacts which ensures that, in the event of a default by the buyer, the seller is able to repossess the property without a formal foreclosure. If a scenario like this occurred the seller would greatly benefit from any and all payments we made towards the loan, improvements made to the property, and appreciation in the properties value.

SUB-TO FAQ

QUESTION

How are utilities and insurance handled?

ANSWER

Our insurance agent will be responsible for replacing your current policy with our policy, which includes the addition of the sellers as additional insured parties. Our company will be responsible for all things related to insuring the property and entitled to any claims. We will take the necessary steps to transfer utility services into our name.

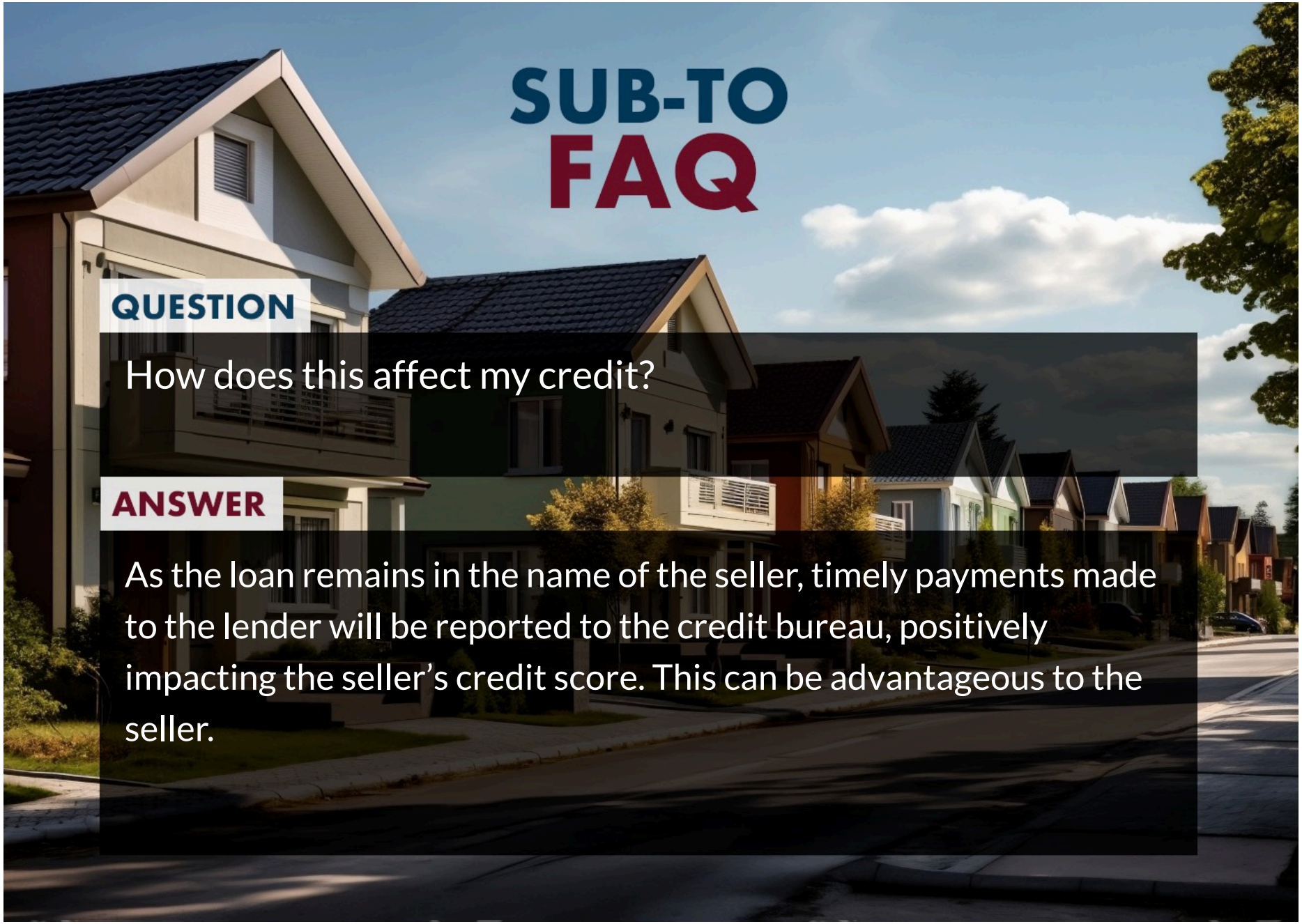
SUB-TO FAQ

QUESTION

How long does the mortgage stay in the Sellers name?

ANSWER

The short answer would be for as long as we can keep it. We advise sellers and agents to anticipate maintaining their names on the mortgage until the mortgage balance is fully settled. However, as per my partners and I, the typical holding period is around 7-10 years.



SUB-TO FAQ

QUESTION

How does this affect my credit?

ANSWER

As the loan remains in the name of the seller, timely payments made to the lender will be reported to the credit bureau, positively impacting the seller's credit score. This can be advantageous to the seller.